Customer Churn Analysis Report

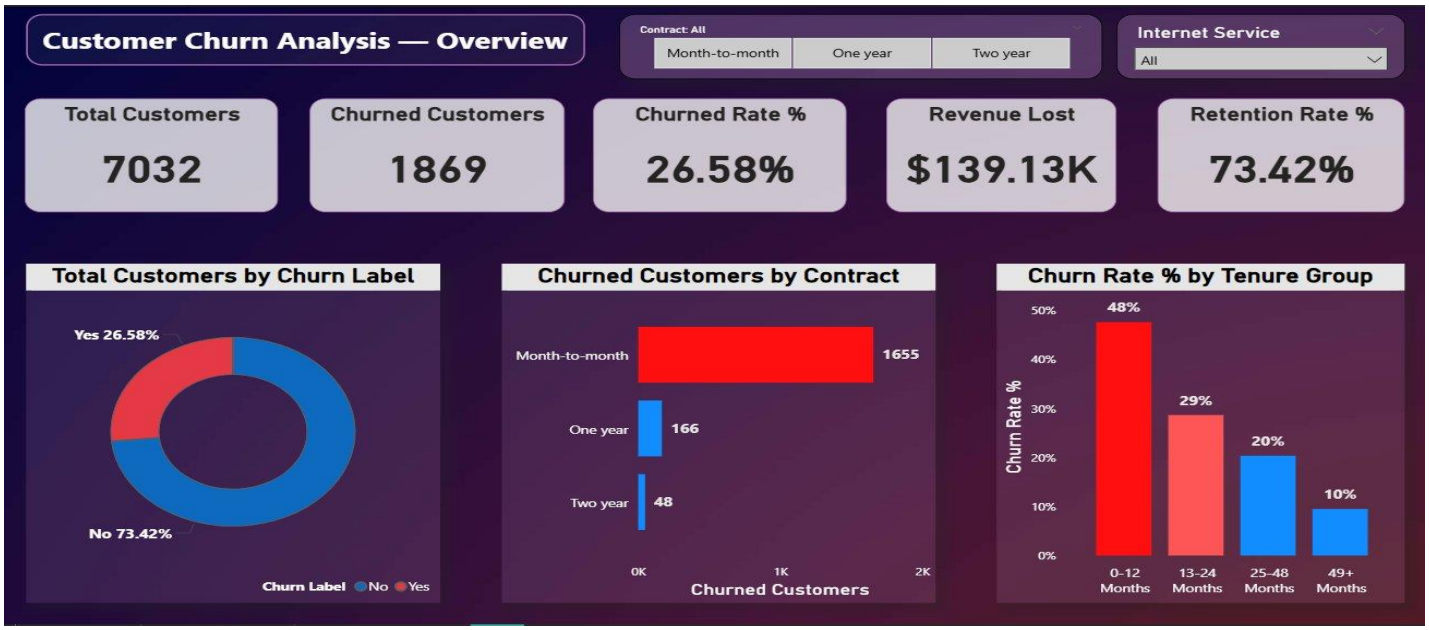
Telecom Sector | 2024 | github.com/TheGopalN/Customer-Churn-Analysis

7,032	1,869	26.58%	$139.13K	73.42%
Total Customers	Churned	Churn Rate	Revenue Lost	Retention Rate

Executive Summary

This report analyses customer churn behaviour across 7,032 telecom subscribers. With a 26.58% churn rate and $139K in lost monthly revenue, retention is a critical business priority. Key risk factors include month-to-month contracts, fiber optic service, electronic check payment, and short tenure. The analysis covers three dashboards and concludes with six actionable recommendations.

1. Overview Dashboard



Month-to-month contracts account for 1,655 of 1,869 churned customers. New customers (0–12 months) churn at 48%, falling to 10% at 49+ months — making the first year the most critical retention window.

2. Key Findings at a Glance

Contract Type	Month-to-month: 43% churn · One year: 11% · Two year: 3% — contract length is the single strongest predictor of retention.
Internet Service	Fiber optic: 42% churn — more than twice the DSL rate (19%) despite carrying the highest monthly fees.
Payment Method	Electronic check: 45% churn · Auto-pay (bank transfer / credit card): 15–17% churn — a 28pp gap from friction alone.
Tenure	0–12 months: 48% · 13–24 months: 29% · 25–48 months: 20% · 49+ months: 10% — loyalty compounds over time.
Senior Citizens	Senior customers (Yes) make up 63.8% of churned customers — age-specific needs are not being met.
Monthly Charges	Churned customers avg $74/month vs $61 for retained — higher-paying customers are more likely to leave.

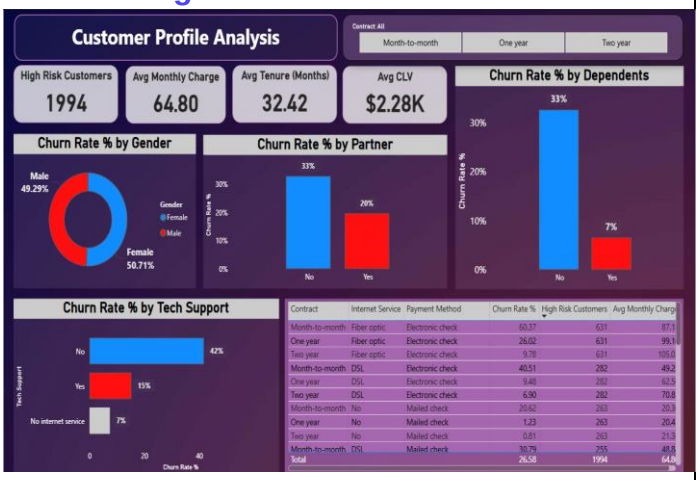
Churn Drivers & Strategic Recommendations

3. Churn Drivers & Customer Profile Dashboards

Churn Drivers

Fiber optic (42%), month-to-month (43%) and electronic check (45%) are the three highest-risk combinations. Senior citizens (63.8% of churned) and new customers (48% in yr 1) are the most vulnerable segments.

High-Risk Customer Profile



1,994 high-risk customers · Avg charge $64.80 · Avg CLV $2.28K. No tech support = 42% churn vs 15% with it. No partner = 33% churn vs 20%. No dependents = 33% vs 7%.

4. Strategic Recommendations

Priority	Action	Expected Impact
☐ **Critical**	Contract upgrade campaign — offer discounted 1- or 2-year plans to month-to-month customers with personalised outreach.	30–40% churn reduction in largest segment (1,655 churners)
☐ **Critical**	Audit fiber optic quality; add SLA guarantees and loyalty credits for high-paying fiber subscribers.	Bring fiber churn from 42% toward DSL levels (~19%)
☐ **High**	Incentivise switch from electronic check to auto-pay with billing discounts or one-month credit.	Cut payment-method churn from 45% to ~15–17%
☐ **High**	Strengthen 0–12 month onboarding: proactive check-ins, free tech support trial, first-year loyalty rewards.	New-customer churn from 48% toward 29% (yr 2 band)
☐ **Medium**	Bundle tech support into standard plans or provide free 3-month trials for customers currently without it.	Tech support linked to 27pp lower churn (42% → 15%)
☐ **Medium**	Target single / no-dependent customers with value-add bundles in the first 6-month risk window.	Close the 26pp churn gap vs customers with dependents

Revenue Recovery Potential
Retaining 20% of the 1,994 high-risk customers at avg CLV $2.28K = ~$908K recovered annually.

Quick Win
Moving just 10% of electronic check users to auto-pay could prevent ~45 churns/month with minimal cost.

Long-term
Each customer retained past 48 months has a 90% retention rate — investing in loyalty pays compounding dividends.